

work to widen the price-value gap, increase the noise in the system, and lead to spikes in volatility. In this world, an investor who is hostage to short-term performance pressures will feel nothing but discontent.

It doesn't have to be that way. The success of Warren Buffett is very much about his desire to play the game differently. And we are all invited to join him in that game. The only requirement for successful play is the willingness to adopt a different set of rules. Of these, none is more important than the value of patience.

Time and patience, two sides of the same coin—that is the essence of Buffett. His success lies in the patient attitude he quietly maintains toward both Berkshire's wholly owned businesses and the common stocks held in the portfolio. In this high-paced world of constant activity, Buffett purposefully operates at a slower speed. A detached observer might think this slothlike attitude means forgoing easy profits, but those who have come to appreciate the process realize that Buffett and Berkshire are accumulating mountains of wealth. The speculator has no patience. Buffett, the investor, lives for it. As he reminds us, "The best thing about time is its length."

And so we come back full circle, to the critical issue of emotion and its counterpoint, rationality. Intelligence alone is not enough to ensure investment success. The size of the investor's brain is less important than the ability to detach the brain from the emotions. "Rationality is essential when others are making decisions based on short-term greed or fear," says Buffett. "That is when the money is made."¹²

Buffett recognizes that he is neither richer nor poorer because of the market's short-term fluctuations in price, since his holding period is longer-term. Whereas most individuals cannot endure the discomfort associated with declining stock prices, Buffett is not unnerved, because he believes that he can do a better job than the market in valuing a company. Buffett figures that if you can't do a better job as well, you don't belong in the game. It's like poker, he explains—if you have been in the game for a while and don't know who the patsy is, you're the patsy.

Absent rationality, investors easily default to System 1 thinking, which is adequate for simple and predictable tasks but not for the complexity that is the stock market. Absent rationality, investors become enslaved to the basic